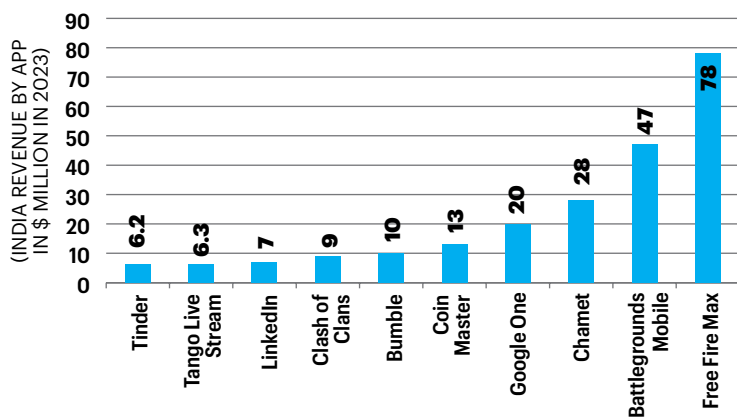


RISING REVENUE

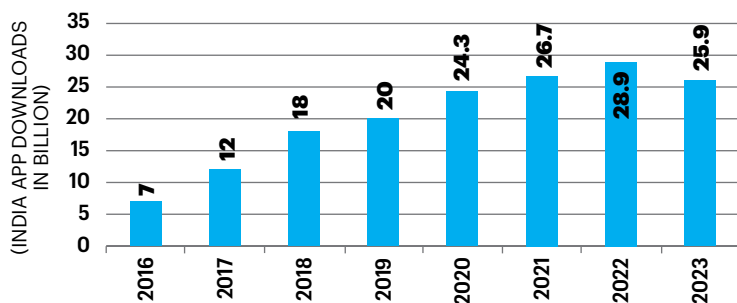
● Gaming apps have dominated the app market revenue charts in India



SOURCE APPMAGIC, SENSOR TOWER

APP AND DOWN

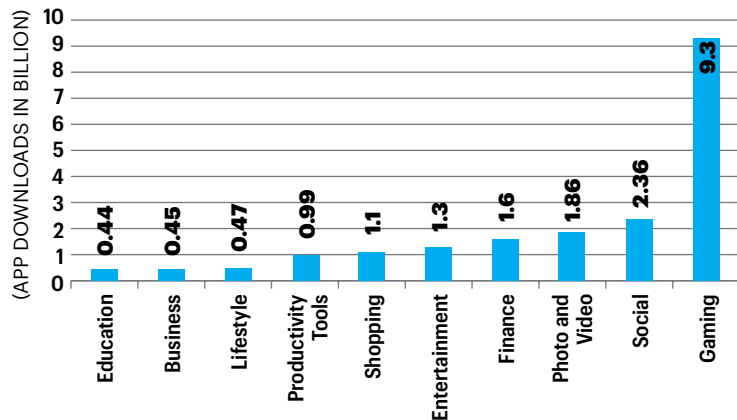
● Following a steady rise in app downloads, India witnessed a slight dip in 2023



SOURCE DATA.AI

JUST LOVIN' IT

● Indians downloaded more gaming and social media apps in 2023



NOTE TOP 10 SECTORS BY APP DOWNLOADS IN 2023 SOURCE DATA.AI

oritise local languages, he adds.

Agrees Tarun Pathak, Research Director at Counterpoint Research. “A local app store could potentially offer a more Indianised version of an app store, catering to the specific needs and preferences of Indian developers and consumers.” However, developers will go where the critical mass resides, and most consumers are used to downloading apps from the Apple App Store and Play Store, he adds.

DEVELOPERS' DILEMMA

The question remains whether a government-driven approach is the way forward or should the market take its course? A government-driven one reaps benefits such as regulatory oversight, accessibility, and economic strategy that is in favour of the country. However, it could also lead to potential downsides like slow-moving bureaucracy and stifled innovation, say experts. The government may be less agile and innovative compared to a start-up, which could offer cutting-edge technology and operational efficiency but might struggle with security and market fragmentation.

upGrad's Kumar is of the opinion that the government could act as a facilitator but the app store should be built by an Indian brand. “With the leverage of the government, infrastructure can be then laid and on top of that, many of us will build good business and good companies, utilising this foundational support to innovate and expand effectively,” he says.

But transitioning to a made-in-India app store poses several challenges for developers, primarily centred around user adoption and financial viability. Developers might initially struggle with a smaller user base, which can significantly affect their app's visibility and profitability compared to established international platforms with vast global audiences.

Pathak highlights the importance of discovery and visibility for developers. “The main challenge lies in discovery and visibility. Unless the new app store is pre-installed by OEMs, it might